

Product Manager Interview Transcript

Personal Loans Product Management — Poonawalla Fincorp

Question 1

So my first question is, can you briefly describe your present role at Poonawalla Fincorp, the product or portfolio you work on, the customer segment you serve, and the decisions for which you are personally responsible?

Answer

So I recently joined the Poonawalla Fincorp.] I joined on 18 May around three months. And I'm a product manager in personal loan department. And I have been looking after the P&N monitoring. My role is related to the P&N monitoring. So I look after all the strategic or budgeting of the department. So let me give you the what are my daily, day-to-day responsibilities. So for any department, there is a budget which got approved at the MD or both levels. And we have to perform according to it.] And based on that budget, the manpower gets allotted to us. And it gets initially decided that what will be the target business that we have to achieve in a year. and what will be the profit we will generate as a department for the company or the organization. So my main goal encompasses all the budgeting, which is for penal monitoring. And I also look after the payouts of channel partners.] I also manage the channel partners and also the incentive structure of sales department.

Question 2

Can you select one recent product, feature, customer journey improvement, pricing change, or channel initiative that you worked on and can discuss with us? What customer business problem was it intended to solve?

Answer

So let me stop you there because there are various roles in product department also. So each person is responsible for different responsibilities. So since you are new to this industry, so if I tell you about this. So any particular product department in any NBSC or bank, product department consists of seven to eight people. And it can also vary. So each person is responsible for different things. One look after the policy part. That what will be the procedure or process will be followed by the sales operation and credit for that department. One look after the system development. The LOS or the LMS that the department uses for its journey, for its product journey, will be looked after by another person. So you are asking me to describe what are the challenges that we have faced. But I do not look after those responsibilities. So my responsibility is completely different. I look after the budgeting part of the department and channel partner payout. And also, the things you are asking, this is in the making days when the product is being launched. Whenever a new product that we want to launch a new product, at that time we do the market research. At that time we find out what are the problems that the customer are facing and we propose the solution to our product. So at Poonawalla, it has been an established organization. So currently, there is no new product launch in the personal loan department. So we are managing the product which has been already launched. We have been working in the journey. We are moving towards the vendor's product deadline. So currently, I do not deal with any testing that customer-related problems or market results. My role is completely different.

Question 3

how did your team identify and assess the opportunity behind this initiative? What evidence showed that it was worth pursuing? So why would any organization or any NBFC would want to enter in any loan service? So why we have started the personal loan? Because let me give you the market structure? What is the market value of this total credit side?

Answer

So in India, around 300 lakh crore, I am telling about the market. So Indian lending market is around 300 lakh crore. And out of which, the retail industry comprises of around 165 lakh crore. And out of which, the personal loan comprises of 15 lakh crore. So let me give you the exact numbers of the industry. Currently, total Indian lending market is around 297 lakh crore. Out of which, retail loan industry, retail loan means housing loans, personal loans. These types of loans means, retail loan means which we give directly to the customers, not to the corporates. So the individual loans that we give to any individual, that is called retail loan. So its market is around 156 lakh crore. I am comprising all the private sector banks, public sector banks, and India better work. Out of which, the personal loan industry is around 16 lakh crore. And it has been growing around 15 to 20 percent on an yearly basis. So that's a huge market. And why we are trying to capture that market? Because as I have always told that it has been growing 20 percent on a yearly basis. And with an increase in income of Indian individuals, and credit demand has also been rising at the same time. So for any individual, since the credit demand is rising, we are trying to capture that customer by offering the personal loan for various purposes. So anybody who wants a credit for their personal loans, we are trying to capture them. We have already got the huge opportunities. That's why we are also trying to compete with the other players that are operating in the same market. So currently, the banks, private banks and public sector banks hold the majority in the portfolio level. When I am saying portfolio level means the same inception, the loans which are built up. And when I am telling same inception, 16 lakh crore is the active loan amount that has been credited right now. Not all the loans. So the loans which are active right now is around 16 lakh crore of personal loans in India. And out of which, banks, private banks and public sector banks hold the majority of it. But since the digitalization has been a main motive. So the NBSC and Fintech companies are trying to capture the majority when the new loans are getting sources. So now when you see the trend in the, now when you see the trend in new sources, NBSC and Fintech are trying to capture the majority of market. But the public and private sector banks are still ahead. But if you are in the current market, offers a customer a quick loan service. So if you get the loan destruction quickly or in a way that is feasible for a customer to do so. So this was a loan on it. So it will be a good opportunity. And Poonawala is trying to do so.

Question 4

how did you define the target customer segment and the product's value proposition? And what specific need that you think that was the product solving better than the available alternatives?

Answer

first of all, how do you define the target customer segment. So there are a lot of, first of all, anybody who is requiring the customer is our target customer. But we do not give to all customer. There are certain criteria which we apply. So we largely target to the big corporate salaried employees. So the employees which are working in category A companies, category B companies, category A or super category A, which is comprised of the government companies, central government, state government or the big private players, which are called super category A or category A companies, which have a good market

application. So we generally target those customers. And so second was, what are the pricing.

Question 5

What are the product value propositions?

Answer

Product value propositions. So basically, the major thing we offer to the customer is that consolidation. So let me give an example of a salaried customer having a two to three personal loan with different financial institutions. So we offer them to get a single personal loan from the Poonawala Fincorp and which can help them reduce their EMI. So let me give you an example in a brief way which can help you understand. So if the customer has one loan of one lakh rupees at 14 percent, he is giving an EMI on let's say 4000. Let's take the individual on one lakh rupees on a monthly basis. So it's having one EMI of 4000 and another loan which has an EMI of 10000 and third loan will be of EMI of 5000. So the customer pays an EMI of 19000 monthly on a monthly basis. And if we take the FOIR, which is fixed obligation on income ratio. So out of nineteen thousand divided by one lakh rupees, it's FOIR. So nineteen percent of its income goes to the fixed obligation to the financial institution, which will give to the EMI. So at Poonawala, we offer him the same amount of loan, which he has taken outside with the three financial institutions. And we will offer an EMI of 15000 by giving him a long tenure. So let's suppose he has tenure of two years in one loan, one year in second loan, five years in third loan. So we offer him a loan of seven years combining all the loan amount and with the lowest sustainable rate and with the lowest EMI amount that he has to pay on a monthly basis. So we try to get consolidation. So not many players in the market don't pay, we offer this opportunity to our customers for that consolidation.

Question 6

What were the riskiest assumptions that you face about the product, customer or business model and how did you test them? Before committing any significant resources about the product launch, what were the riskiest assumptions about the product, customer or business model and how did you overcome them and how did you test them?

Answer

So whenever new product is to be launched, before that a market is to be, so there is a market study that has been done. So we look after our competitors that what are they offering and how they come to you by earning some profitability also. So this proposition should be sustainable also. So the competition are doing something in the market. We also want to capture those customers. But we also have to look after that this new venture should be profitable for the organization and should be sustainable for the long term. So whenever a new product wants to be launched, so we understand what are the solution that is solving for the customer problem and how are the competitors working in this market. And after that there is a budgeting session that what are the inner capabilities of our organization. Suppose we have good branches in many places or we have fire with many channel partners. So what are our intent on how we can capture those market with our strength and what should be our offering. Other than the competitor what is what they are offering. So we look after the market. We do the market study. Then we do the competition study. Then we look after what are the hours spent. Then there is a budgeting share. Then there is a budgeting of the product. So it's a new product that's launched so there will be an initial investment for that product and which later on will give us the profit. But for the initial period we have to do some investments. So that's how we find that if we want to launch a product in any particular market or we have to cater any targeted customer. So we first do this process.

Question 7

Like could you take us through the journey from complete life cycle of the initiative like from idea generation to development to approval to launch and the post launch improvements that you do in your role.

Answer

So as I told you that my role doesn't involve any of this. But what I understand my counterparts in the same department does that for any product launch. So first if we can finalize that we are going to launch this product after we find out some after we do some after we have done some research. So we have taken the supports we have given presented to the board that if we launch this product and it will be profitable in some way or we are trying to capture the market. Many of times we are trying to capture the market and then later on we will try to focus on being the profitable. So once it has happened. So then there are then we try to create a system around it. So there is a LOS OR LMS. LOS is lead origination systems and LMS is lead management systems. So we try to create a journey for a customer which is as efficient and as simple. The user should be as convenient for any customer to go and disburse any loan on their own. So if I'm offering a personal loan to any customer my main motto is to that I should be I should have an automated this journey. So if any customer wants a personal loan, they can go to our website and by the journey of our personal loan, they can get the loan because in an hour or in a few minutes. Based on the document when they are that they have available. So the initial note of any product manager needs to create a system around the product offering them that it should be convenient for any customer. And it should be helpful for the customer should not get worried about that. Don't I will not get it because we are asking so many documents for any loan or if we are not going to give a loan then it's also it is our responsibility that we should convey this to the customer in the initial business. So for any product manager to create a journey, it's first thing to create a journey in such a way that it is it is feasible for a customer affecting the policy and process. The product manager who looks after the policy and process has also the job of creating the policy in such a way that our customer as a loan that we serve to the customer or customer after that there is a loan service. So if a customer wants to later on close the loan on early or if a customer wants to top up on this loan amount wants to include the loan amount or the customer wants to reduce its EMI or interest rate.] He can directly or there should be a process by which established process by which the customer can reach out to us and we can solve this problem. So our other product manager look after the policy or process by which the after journey when the loan gets reduced, the after journey is also very convenient for the customer. , I don't think it will be relevant, but yeah, these are the a few talk about the product manager wants to launch a new business, the initial criteria are the budgeting which are only to market study then budgeting the product process and the creation of policy and system development. Then the other things are are part of the loan services and the loan, the other things which I don't think are relevant.

Question 7

like in lending a loan in a faster approval and a simpler onboarding may improve conversion, is it okay, but they can also affect the fraud exposures and credit quality. How do you balance that growth and customer convenience with a responsible lending risk privacy and compliance is already well answered.

Answer

So, first of all, what you have said is, is completely right that we have to create a journey for any customer which is not only feasible, but it should not be a time consuming. Yeah, so first of all, that is completely right. How do we maintain or how do we control ourselves from any fraud, or any malpractices or any wrong documentation that the customer wants to give to us. So there is a BRE system that is inbuilt in the system, business requirement engineering,

that works behind the system. So if we give certain, how do I say how, there are certain process, or there are certain system integration that have been done through our LOS by which we can detect those systems. So in the market, there are various software available. And many companies are offering on daily basis, working on working on the software. So, working on these software help us in detection of frauds. So, there are various software like Surfside, which checks with the customer and tell you this software because it is not related to personal, but it is related to the mortgage loan type. the customer already have a home loan support, already have a home loan and it's applying another loan on same property with the different institution, different bank. So there are portals like Surfside which can tell you the, so whenever a bank or any financial institution gives a home loan to any customer, so it do a Surfside of that property and its data gets uploaded on that software. So it is mandatory. So whenever a new financial gives the loan to the same, to the customer on a same property, it's like reflective, so it gets sent. So the customer is trying to do a malpractice or presenting the wrong documents, it will get caught in the process. So there are various software, which are integrated to the floor, which help us in detection. So, one is for a personal loan we use the CIBIL which is a very common, you know that any individual who have taken a loan in the past will have a CIBIL. Yes sir, CIBIL score. And based on a CIBIL score, you get a, you know if the customer repayment, repayment, we can say that like that repayment health is good to repay the loan. So, one trying to, sorry let me, if a customer past repayment history is good or not. So by that you can go know that, this is also for this, for generating a score based on that past repayment history. So there are various hunter, so there are, there are various software data available in the market, there are various portal data available in the market. By which we try to control the frauds or the malpractices that the customer is doing or we try to caught them. But at the same time we have to take some, assume some risk because we, at the end these are all softwares, there will be some, sometimes that we will not be able to caught that or later on we will find that there is a fraud that has been happened. But the prime for any organization is, so the prime thing for any organization is to speed because the, so the industry is very fast, dynamic and competitive. So we have to assume some risk by if you are doing the business. So first motto is to do the process in a fast way as possible, as earlier.

Question 8

how was the product taken to market and how did you decide the target segment channel positioning pricing and communication and the rollout plan of that product.

Answer

So, as I told you, for market we already do our market study on regular basis, what are the new product options that the competitors are offering or what are the new requirements that the customer wants and we can offer them. So these studies or these things goes on regular basis. Otherwise, we will not be able to come to be the competitors. So this is on regular basis to we try to find out the opportunity where we can offer our product or create a new product offering for any customer. So the pricing part, the pricing part is dependent on sources that for any loan that you do at any rate, you have to for any financial institution, we have to look for their cost of fund. So, suppose I'm giving you a loan of 10 lakh at 10%. At what cost I have to bear for this 10 lakh at 10%. So there are initial investment. So, when a bank or any institution, let me give you an example of a bank, how the bank gives to the customer, the money they get from the deposit, that money gets, they lend to the customer. So, it's a cycle of at what price they are. So, if you have a savings account, we have deposited some amount of money in the bank. Similarly, the many large individual household deposit their money in the bank. So banks lend their deposit money to the customer who wants the loan. So, at what price they have taken the deposit from a customer, and at what price they are lending, so there is a difference. So, at what price they have taken the deposit, it is called cost of fund for any bank or any institution. So, if I'm giving you a loan of any rate, what are my investment and what percentage I have to deal

with. So, first of all, it depends on what are my costs and what are my margins should be. So, if I'm offering you a rate of 14%, for an example, and I'm getting the same money at 6% or 7%, I have to bear the 7%. So, the difference is 7%, okay. So, this 7% will include the cost of my office, my employee costs, everything. So, what should be my margin? So, first of all, is the cost of funds, then what should be my internal cost to service that get offered i.e employee cost, building cost, system cost, branches cost. All these costs are accumulated, suppose that is around 4%. So, my cost is 7%, I'm wearing the other charges that I'm bearing is 4%. So, total cost for me is 11% and I'm offering to the customer at 14%. So, the 3% difference is my profitability. So, first we look after what is the cost for an hour and what will be the margin. The second we look for whenever we are doing the pricing, the second thing we look at what rate the competitors are offering. or the rate, we should be, because at any time, because I'm offering at the 14% and the competitors are offering at 10% or 11%, nobody will come to me. For the type of customer which will come to me at 14%, it should not, it will not be a good customer because other banks and institutions are not going to go to a desk, that's why they are coming to me at 14%. So, for any institution, they first look for the, what are the internal costs, other prospects and employee costs, then we look after the competitors, what are the competitors that they are offering.

Question 9

which metrics you determine that the product is successful and what signals tell you that the product has achieved their product market figure. So, for any, there are various sectors by which we can determine that the product is successful and it will benefit you.

Answer

So, top three characteristics that we can say that, yeah, this can be done, we can easily say that this product can easily achieve that their product market. So, in one little context, you are asking if you want to launch a new product that time, we have to find out what are the things that... So, first of all, profitability, any company or any organization wants to go for the profitability, if any product that I am taking to the market, if it's earning me money or not. So, first is profitability, if my product is profitable or not. Secondly, for any, if we are working in a lending sector, so there is many times a customer goes and be a delinquency. So, customer does not do it. So, I have to take the risk of that. So, maybe for any product to finally say that it's successful, we cannot say in any early stages. Suppose if I have launched a personal loan product in this year, I cannot say in the next stage that my product is successful, even if it is profitable. Because it's too early to judge any product because for any loan, when you are in a lending sector, there is a call of delinquency.] It is a thing called delinquency when a customer does not pay their EMI. So, I have to assume that risk, I have to take the amount which I have landed to that, I have to create some turbulence. So, RBI has several loans, but when a customer goes delinquency, so the loan which I have offered them, I have to take that loan in my expenses. So, suppose if I give an identity loan to you for 5 years and you have paid for 1 year, but after that, you have stopped paying your EMI. So, in 1 year, my principal amount that I have been reduced to, now the principal is 8 lakhs. now this 8 lakhs, you are not paying any EMI, you have become delinquency, you have become non-performing asset for me, you have been declared as an NPA. So, now this 8 lakhs, for this 8 lakhs, I have to create provisions in my book and at the end, I will take those 8 lakhs in my expenses.] I will consume that 8 lakhs in my books. So, on every yearly basis, I will take some amount, also this 8 lakhs and I will take that as an expense for my organization. Because the customer, I have given my loan to the customer, but the customer is not paying to me, so who will pay this amount? So, my organization has to bear that cost. So, this 8 lakh cost will be bear by us. So, this will be an expense for me. So, for any product to be successful, so to judge any product to be successful, we cannot in an initial basis that if it may be earning good in initial year, but whenever the books get old, in any lending factor, there is a loan which you have already done, so it's an active part of your portfolio that is called book. So, whenever the book matures, then only you can know that the loan which you have been birthed for, even

to the right quality of the customer,] the book is behaving in a good way, you do not have much delinquency, you do not have to create a provision for that delinquency above,] you do not have to take that as a loss for you. So, first profitability, book behaviour, third would be if I am trying to build a larger portfolio, so market present. So, there are various competitors in the market. If I am able to create a market presence for my organization, it is also on a criteria of product success.

Question 10

have you been involved in some time in redesigning, merging, reprising, scaling down or discontinuing any of your product portfolio, feature, channel or customer proposition, how was that decision made particularly?

Answer

So, we generally do not try to discontinue any product because there is a significant initial cost that has to be gone whenever a new product has to be launched. So, we generally do not try to discontinue any product but we try to change its feature or try to modify it in such a way that we can cater the customer, we can still cater the customer and without discontinuing the product. But, as this industry, banking industry is governed by the RBI, so we have to follow the rules and norms that the RBI gives on a regular to minimum. In time to time, there are certain regulations that come into play by which we have to stop certain products or we have to change our product offerings that we are offering in the market. So, let me give a recent example. So, few days back, few days back, RBI have rolled out a new circular that any revolving credit facility will not be given by any NBSC. Now, let me give you an example of what is revolving credit facility. Have you heard that term about overdraft? So, you know the overdraft facility, how does it work? That we have given a certain amount of limits and as in when you take the amount, the interest will charge to you and you return that limit. So, that limit will be given to you in the starting of the any loan and you just take as much amount as you want and you pay the interest on that amount and you return that amount. So, right now, RBI has strictly forbidden for any NBSC for revolving credit facility. So, any NBSC which is currently offering the flexi or overdraft personal loans and not sent to the corporate overdraft or flexi loans to the overdraft flexi personal loan to any customer or any individual which has been stopped by the RBI. So, certain NBSC are now currently trying to engage with the RBI target but have stopped the business of this type of loan revolving credit facility.

Question 11

what advice would you give to us, to me and my peer Dhananjay that are aspiring us to become a product manager?

Answer

So, a product manager role is very wide and it changes when you work in which type of industry. So, in banking, it has a different type of responsibility. In IT, it has different type of responsibility. So, it varies but if you want to enter in the product manager. Okay. So, the basic things that should be like if you know about that industry, how it works. Suppose if you want to enter in any in a banking industry or you can't take it. Just take it like if I want to enter into an FMCG industry. Okay. So, FMCG industry. So, you have to know about that market. How the market is being operating. Okay. What are the competitors that are currently in the market. And how any product manager role is basically to find out the opportunities in the market and how you can offer any product or how you can cater that market. You have to find out the opportunities and what are the problems that your product can solve for any customer. That is the basic simple criteria of any product manager. And now, since I have not worked in the FMCG, let me give you an example of a bank. If you know little bit about some banking, NBSC or any financial institution, how does they work.] If you have an understanding of that, you can try to initially go in the sales role because you have to find out. So, basically, in any financial institution, product manager role is to solve

the problems of the sales department. Sales department, survey department and operation department is a support function. You know, if a person is working in the financial institution, the product manager role is a support function. We are there to solve the problems of the sales team. We are there to create the processes which will be followed by the operation team to cater the loans. We are there to create the policy which will be followed by the credit team to deliver the loan. So, we are the main support function for any department. So, if you have a problem-solving mind and if you know about that industry, so a product manager role is good for you.

Sir, thank you so much for giving your time.